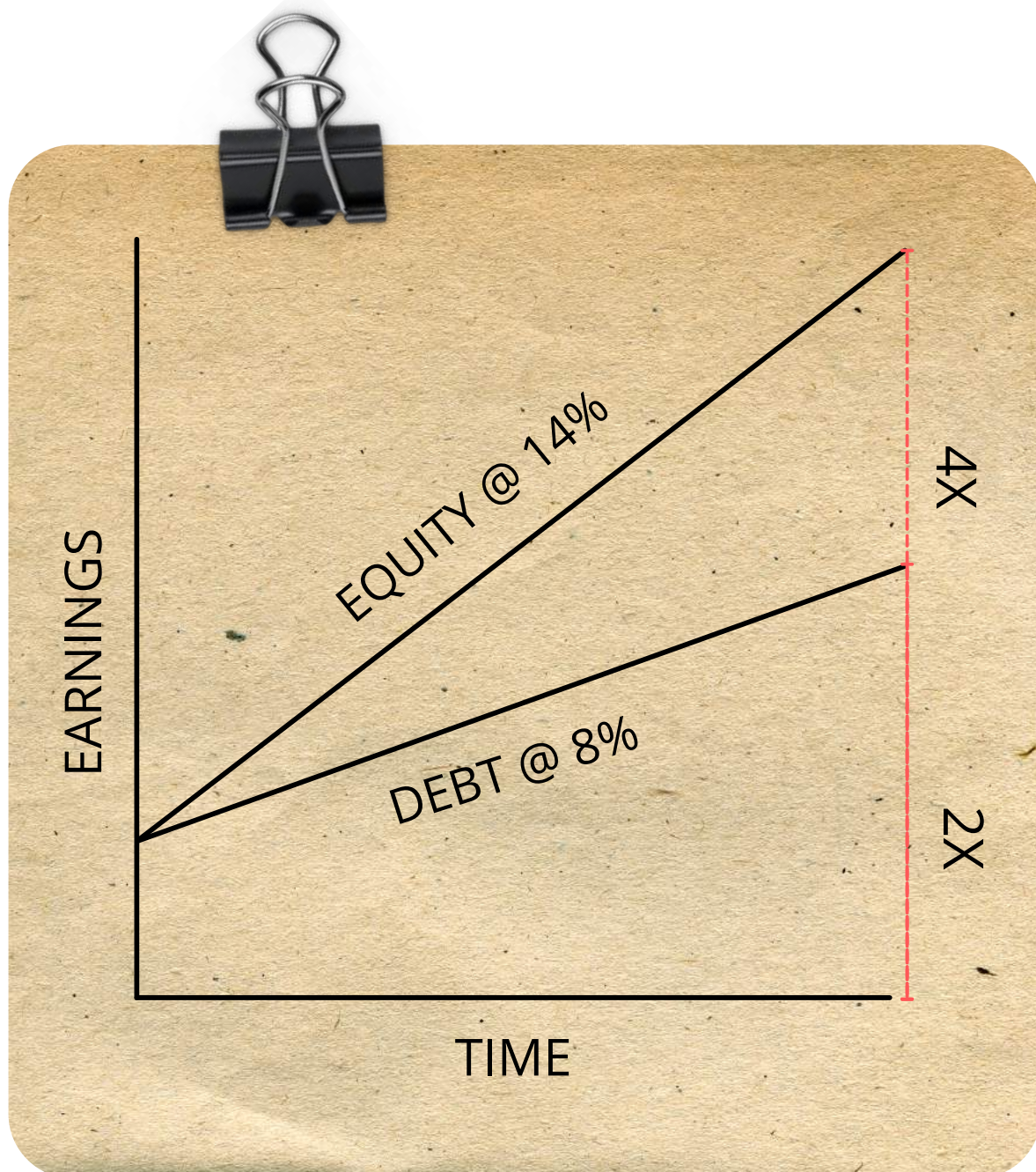




Why do we emphasize on equity for long term goals? In the long term, equity outperforms debt by a huge margin due to the compounding effect. For instance, a fixed deposit with 7% p.a. as the return, doubles the money in every 10 years. At the same time, an equity investment earning 14% p.a. grows the money 4x in a similar time frame. So, we have 2x by investing in equities compared to what we would have by investing in fixed deposits. The difference increases as more time passes. Over 20 years, the difference becomes 4-5x. This difference could decide if we are meeting the goals or not. That is why, when we have more than 7 years to reach a goal, we should try and allocate as much as possible to equity.

